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14.2 Computerised Accounting System (CAS)

Computerised accounting system refers to the system of maintaining accounts using computers. It involves the processing of accounting transactions through the use of hardware and software in order to keep and produce accounting records and reports. Computerised accounting system takes accounting transactions as inputs that are processed through accounting software to generate the following reports:

- Day books /Journals
- Ledger
- Trial balance
- Trading account
- Profit and loss account
- Balance sheet, etc.

In accounting, computer is commonly used in the following areas:

a) Recording of business transactions

b) Payroll accounting

c) Stores accounting and

d) Generation of accounting reports

It is to be noted that the fundamentals of accounting do not change whether books of accounts are maintained manually or computerised. The same principles of debit and credit are equally applicable in a computerised environment.

14.2.1 Features of computerised accounting system

Computerised Accounting System (CAS) facilitates the management and other users to maintain accounts and prepare financial statements using computers. The reports generated through CAS are used to analyse financial status of a business and take necessary decisions to strengthen the financial soundness of the business. The CAS possesses the following features:

i) Simple and integrated

CAS is designed to automate and integrate all the business operations such as purchase, sales, finance, inventory and manufacturing. The CAS may be integrated with enhanced Management Information System (MIS), multi-lingual and data organisation capabilities to simplify all the business processes of the organisation easily and cost-effectively.

ii) Speed

It can perform functions at much higher speed than doing the same manually.